

Pico: Business Model, Revenue Model, and Competitive Analysis

This document explains how Pico differentiates itself from traditional bio-link platforms (like Linktree or Beacons) and traditional payment rails (like Stripe), and details our business and revenue model.

1. Competitive Comparison: Pico vs. Traditional Platforms

Metric/Feature	Traditional Bio Links (Linktree, Beacons)	Traditional Payments (Stripe, PayPal)	Pico + Coinbase Smart Wallet (Base L2)
Primary Focus	Traffic routing (links to other websites). Often charges high	General-purpose credit card processing.	Instant micro-monetization of individual digital assets.
Transaction Fees	subscription fees (\$5-\$30/mo) for custom domains or premium monetization features.	2.9% + \$0.30 flat fee per transaction.	Near-zero network fees (typically <\$0.01 per transaction on Base).
Micro-Payment Viability	Unfeasible for items under \$3 due to Stripe's \$0.30 fixed fee structure.	Dead on arrival for low-ticket items. A \$0.50 purchase leaves only \$0.19 for the creator.	Highly viable. A \$0.50 purchase costs <\$0.01 in fees; the creator keeps ~98-99% .
Checkout Friction	High. Redirects to external stores (Shopify, Gumroad) requiring full checkout forms.	Requires inputting card number, expiry, CVV, billing address, or logging into an account.	One-Click Biometric Checkout (FaceID or Fingerprint) directly inside the in-app browser.
Merchant Onboarding	High friction. Requires setting up store profiles, linking Stripe, completing KYC/bank verification.	Extensive KYC, credit checks, business details, and waiting days for merchant account approval.	Instant (Zero Setup). Creators register a handle and connect their wallet. They can receive funds immediately.
Chargeback & Fraud Risk	High risk. Fraudulent chargebacks cost creators \$15-\$20 penalties + lost revenue.	Creators bear the risk of chargebacks and sudden account/funds freezes by Stripe.	Zero chargeback risk. Transactions on the blockchain are cryptographically final and irreversible.

2. Our Business Model: "Micro-Monetization"

Traditional creator platforms operate on two primary models:

- Subscriptions (Patreon, Substack):** Fans pay \$5–\$20/month. This requires fans to commit long-term, resulting in low conversion rates (only 1-2% of a creator's audience subscribes).
- High-Ticket Digital Products (Gumroad, Teachable):** Selling courses or books for \$10–\$100. This requires high intent and extensive purchasing decisions from fans.

The Pico Strategy

Pico introduces **Micro-Monetization**:

- **Impulse Purchases:** Fans can unlock a single prompt, a PDF recipe, a template, or a premium link for **\$0.20 to \$1.50**.
 - **Zero Commitment:** Fans do not have to subscribe to a monthly fee. They pay a tiny amount for immediate value.
 - **Instant Gratification:** Checkout happens inside the Instagram/TikTok app in under 2 seconds.
-

3. Our Revenue Model: How Pico Makes Money

Pico's revenue is generated through a hybrid transaction-and-service model:

1. Platform Take Rate (Micro-Transaction Fee)

Instead of charging creators a monthly subscription, Pico charges a **5% platform fee** on every transaction.

- **Why it works:** On a \$0.50 payment, the 5% fee is **\$0.025**.
- **The Math:** Since the underlying transaction is executed on Base L2, the actual gas cost to route the USDC payment is less than **\$0.005** (half a cent).
- **The Margin:** Pico keeps the difference (**~\$0.02 per transaction**). At scale (millions of daily micro-transactions), this yields massive, high-margin revenue.

2. Coinbase Pay Off-Ramp Commission

Creators accumulate their earnings in **USDC stablecoin** (which is pegged 1:1 to the US Dollar).

- When creators choose to "Cash Out" to their bank account (transferring USDC to USD), Pico routes the transaction through Coinbase Pay's off-ramp API.
- Pico can charge a small convenience fee (e.g., 1%) for instant ACH transfers to banks.

3. Sponsored Gas Packages (Premium Tier)

For professional creators, we offer a subscription tier where Pico sponsors 100% of their fans' gas fees and provides:

- Custom branding on the checkout modal.
 - Analytics dashboards.
 - Custom checkout domains (e.g., pay.creator.com).
-

4. Key Differentiators (Why We Win)

1. **Solving the Micropayment Trap:** Traditional payment processors cannot handle transactions under \$2.00 because of fixed fees (\$0.30 per swipe). By moving transactions onto Base L2, Pico unlocks a completely new economy of \$0.10 - \$1.00 content unlocks.
2. **Solving In-App Browser Friction:** Over 80% of creator traffic comes from Instagram, TikTok, or YouTube in-app browsers. Opening traditional wallets (like MetaMask) fails inside these browsers. By integrating **Coinbase Smart Wallet**, fans can pay directly inside the social media app using their phone's native biometrics (FaceID/Fingerprint).
3. **No Crypto Knowledge Required:** Fans do not need to know what a "blockchain" or "USDC" is. Coinbase Smart Wallet handles card/Apple Pay funding seamlessly, presenting a checkout screen that looks and feels exactly like standard Apple Pay.